

		27, 32.) But those are merely conclusory assertions lacking factual specificity. Where a pleading shows on its face that a claim would otherwise be time-barred, the burden is on the plaintiff to state specific facts to show delayed discovery: conclusory allegations will not withstand demurrer. (<i>Carrillo v. County of Santa Clara</i> (2023) 89 Cal.App.5th 227, 234.) The FAC does not meet that standard here. The FAC fails to articulate what the specific defect is, and when and how that was discovered by Plaintiff. The Demurrer as to COA 4 is SUSTAINED on this ground. For COA 5, Defendant’s argument under the economic loss rule (the “ELR”) fails here. <i>Rattagan</i> did not address claims of fraudulent inducement by concealment in the Song-Beverly context. (<i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1, 41, fn. 12.) In contrast, <i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828 does address such claims in this context. After <i>Rattagan</i> was decided, review of <i>Dhital</i> was dismissed. <i>Dhital</i> thus controls here. Under <i>Dhital</i>, fraudulent inducement by concealment claims are not barred by the ELR. (Id. at 843.) The Demurrer, to the extent it is based on the ELR, is OVERRULED. However, the Demurrer as to COA 5 is SUSTAINED for lack of adequate specificity. Plaintiffs vaguely allege that “Plaintiffs purchased the Subject Vehicle equipped with HYUNDAI’s defective 6-speed transmission,” which “can result in” various problems, but fail to allege what specific problems their vehicle experienced, and when. (FAC ¶¶ 64-66.) Generic claims of defects, without more, will not suffice to state the claim, as “[t]he very existence of a warranty presupposes that some defects may occur.” (<i>Santana v. FCA US, LLC</i> (2020) 56 Cal.App.5th 334, 345.) Greater specificity as to this specific vehicle and the basis for the fraud claim is required. The Demurrer is SUSTAINED on COA 5 on this ground. For COAs 4 and 5, Plaintiffs are granted 20 days leave to amend. However, continued leave to amend should not be presumed: Plaintiffs should ensure that any further amendment fully articulates the factual basis for each claim, including the basis for their tolling claim. In light of the foregoing, the Motion to Strike is MOOT. Case Management Conference is CONTINUED to October 9, 2026, at 9:30 a.m. Defendant is to give notice of these rulings.
12	Rhodes vs. Hartford Insurance Group Inc.	A) Demurrer The demurrer filed by defendants Hartford Insurance Group Inc. and Trumbull Insurance Company (“Defendants” together) against the First Amended Complaint (“FAC”) filed by pro per plaintiffs Emerson Rhodes and Nancy Rhodes (“Plaintiffs” together) is SUSTAINED, with 20 days leave to amend.

Defendants demurred to all four causes of action ("COA") on the basis they failed to state sufficient facts to constitute a COA. (Civ. Proc. Code § 430.10(e).)

a) COA No. 1 – Unfair or Deceptive Acts or Practices

"The California Unfair Competition Law ["UCL"] ([Bus. & Prof. Code] § 17200 et seq.) defines "unfair competition" as "any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising." (Graham v. Bank of America, N.A. (2014) 226 Cal.App.4th 594, 609.)

"In contrast to its limited remedies, the unfair competition law's scope is broad. The unfair competition law's scope is broad. Unlike the Unfair Practices Act, it does not proscribe specific practices. Rather, as relevant here, it defines "unfair competition" to include "any unlawful, unfair or fraudulent business act or practice." [Citation.] Its coverage is "sweeping, embracing ' anything that can properly be called a business practice and that at the same time is forbidden by law." ' ' [Citations.] It governs "anti-competitive business practices" as well as injuries to consumers, and has as a major purpose "the preservation of fair business competition." [Citations.] By proscribing "any unlawful" business practice, "section 17200 'borrows' violations of other laws and treats them as unlawful practices" that the unfair competition law makes independently actionable. [Citations.] [¶] However, the law does more than just borrow. The statutory language referring to "any unlawful, unfair or fraudulent" practice (italics added) makes clear that a practice may be deemed unfair even if not specifically proscribed by some other law. "Because Business and Professions Code section 17200 is written in the disjunctive, it establishes three varieties of unfair competition-acts or practices which are unlawful, or unfair, or fraudulent. 'In other words, a practice is prohibited as "unfair" or "deceptive" even if not "unlawful" and vice versa.'" (Cel-Tech Commc'ns, Inc. v. Los Angeles Cellular Tel. Co. (1999) 20 Cal. 4th 163, 180.)

The basis for this COA is Insurance Code §§ 790.02 and 790.03. Plaintiffs did not cite to any specific subdivision of Ins. Code § 790.03 and based on the facts alleged, that section does not apply,

Plaintiffs allege the unfair practices are violations of Ins. Code §§ 1861.02 and 1861.05. Those code sections do not permit private right of action against an insurer as they are the exclusive jurisdiction of the insurance Commissioner. (Farmers Ins. Exch. v. Superior Ct. (2006) 137 Cal. App. 4th 842, 853–56 ("Farmers").)

Plaintiffs have failed to plead sufficient facts to support this COA. The demurrer is **SUSTAINED** as to this COA with leave to amend.

b) COA No. 2 – Misrepresentation

"The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or

nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Lazar v. Superior Court* (1996) 12 Cal. 4th 631, 638.) "In California, fraud must be pled specifically; general and conclusory allegations do not suffice. [Citations.] "Thus ' "the policy of liberal construction of the pleadings ... will not ordinarily be invoked to sustain a pleading defective in any material respect." ' [Citation.] [¶] This particularity requirement necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.' "" (*Id.*, at 645.)

The only 'misrepresentation' cited by Plaintiffs, made upon information and belief, is that "pricing is based on the losses and claim expenses of our policyholders." (FAC ¶¶ 9, 16.) In support of this being a false statement, Plaintiffs state Defendants represented to their shareholders they made money due in part to lower claim frequency. (FAC ¶¶ 15, 20.) Plaintiffs paid the increased premiums and were harmed in that increased amount of \$3,439 combined for both policies over the 2025 and 2026 years.

Plaintiffs have not pled sufficient facts to support this COA, including intent to induce reliance and justifiable reliance. Indeed, the FAC states Plaintiffs paid the increased auto premiums before they were told pricing was based on the losses and claim expenses of our policyholders. (FAC ¶¶ 8-9, 19.) The home policy was paid in late 2025, however, the letter cited by Plaintiffs was for the auto policy. There was no reliance upon any statements made by Defendants.

Plaintiffs have failed to plead sufficient facts to support this COA. The demurrer is **SUSTAINED** as to this COA with leave to amend.

c) COA No. 3 – Breach of Duty of Good Faith and Fair Dealing

"There is no obligation to deal fairly or in good faith absent an existing contract. [Citation.] If there exists a contractual relationship between the parties. . . the implied covenant is limited to assuring compliance with the express terms of the contract, and cannot be extended to create obligations not contemplated in the contract." (*Racine & Laramie, Ltd. v. Dep't of Parks & Recreation* (1992)11 Cal. App. 4th 1026, 1032.)

Plaintiffs have alleged two insurance policy contracts; however they pled no facts to support his COA other than potentially that the insurance premiums increased. This is not enough.

Plaintiffs have failed to plead sufficient facts to support this COA. The demurrer is **SUSTAINED** as to this COA with leave to amend.

d) COA No. 4 – Injunction

Plaintiffs request an injunction pursuant to Bus. & Prof. Code § 17203 to enjoin Defendants from increasing premiums on all California homeowner and automobile insurance policies based upon Ins. Code §§ 1861.02 and 1861.05. As noted above, there is no

		private right of action under those insurance code sections as they are the exclusive jurisdiction of the insurance Commissioner. Plaintiffs have failed to plead sufficient facts to support this COA. The demurrer is SUSTAINED as to this COA with leave to amend. B) Motion to Strike Defendants’ motion to strike is MOOT based upon the ruling on the demurrer. Plaintiff is given leave to file an amended complaint within 20 days of written notice of the ruling. Defendants’ objection to the opposition is SUSTAINED as there is no basis of judicial notice of the identified document. Case Management Conference is CONTINUED to October 9, 2026, at 9:30 a.m. Defendants to give notice.
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